

Member ID: _____

Time: _____

Rank: _____



BUSINESS LAW & ETHICS

(265)

NATIONAL 2022

OBJECTIVE:

True/False (20 @ 2 points each) _____ (40 points)

Multiple Choice (30 @ 2 points each) _____ (60 points)

TOTAL POINTS _____ (100 points)

Test Time: 60 minutes

OBJECTIVE

Choose the letter that *best* answers the question or completes/describes the statement.

1. Capacity is the legal ability to enter into a binding contract.
A. True
B. False
2. Using puffery in advertising is illegal in most cases.
A. True
B. False
3. A power of attorney is a document that gives an agent authority to sign legal documents on behalf of the principal.
A. True
B. False
4. The USA Patriot Act, which was passed by Congress in the wake of terrorist attacks of September 11, 2001, requires financial institutions to have a system in place to verify the identity of any new customer seeking to open an account.
A. True
B. False
5. Misappropriation is defined as any purposeful communication that deceives, manipulates, or conceals facts in order to create a false impression.
A. True
B. False
6. A person with a high standard of personal values would have a low incidence of unethical workplace behaviors and increased positive work habits.
A. True
B. False
7. Vertical management structures in a business can become an ethical issue since they threaten the existence of large multinational corporations.
A. True
B. False
8. What is known as bribery in the U.S. is considered ethical in the business practices of some other countries.
A. True
B. False
9. The World Trade Organization has the power to enact legally binding ground rules for international commerce and trade policy.
A. True
B. False

10. A living wage is the wage received by child workers in order to stay alive.
A. True
B. False
11. The practice of charging high prices for products sold in home markets while selling the same products in foreign markets at low prices, which do not cover the costs of exporting, is known as dumping.
A. True
B. False
12. Power distance refers to how close you should stand to others during intense negotiations.
A. True
B. False
13. Shared values among employees are the glue of successful management.
A. True
B. False
14. While social reports often discuss issues related to a firm's performance in the four dimensions of social responsibility, as well as to specific social responsibility and ethical issues, ethics audits have a narrower focus on assessing and reporting on a firm's performance in terms of building maintenance and upkeep.
A. True
B. False
15. It is important to obtain independent verification of an ethics audit to ensure credibility and objectivity.
A. True
B. False
16. The number of employees in a company only has a small effect on the success or failure of an ethics program.
A. True
B. False
17. When a contract is signed, the person signing the contract may be legally bound to follow through on the contractual obligation.
A. True
B. False
18. Legal business contracts include at least three parties.
A. True
B. False

19. In contract law, as soon as a business asks a professional painter to submit a bid for repainting offices, the business is legally obligated to contract with that painter.
- A. True
 - B. False
20. Matt sells a vintage baseball card to Jason for \$20. Matt finds out later that Jason knew the card was actually worth \$2,000. Matt can sue Jason for the difference between the selling price and the market value of the card.
- A. True
 - B. False
21. What is an Ag-Gag law?
- A. A law that prevents companies in the agriculture industry from advertising their products.
 - B. A law that attempts to prevent videotaping and recording inside agricultural facilities.
 - C. A law that protects the free speech of journalists who investigate the agriculture industry.
 - D. A law that punishes agricultural companies that fire whistleblowing employees.
22. All of the statements regarding the Family and Medical Leave Act are true *except* which of the following?
- A. An eligible employee is entitled to take 12 weeks of unpaid leave in any 12-month period.
 - B. Every personal or family emergency qualifies for FMLA leave.
 - C. Under most circumstances, the employer must reinstate employees when they return from leave.
 - D. An eligible employee is entitled to take unpaid leave because of the birth of a son or daughter.
23. Which of the following tools are available to OSHA to help it ensure workplace safety?
- A. Temporary imprisonment
 - B. Forced inspections without a warrant
 - C. Interviewing employees in private against the wishes of the employer
 - D. Enforcement powers, such as fines
24. Which of the following is *not* an example of native advertising that the FTC has highlighted as deceptive?
- A. Advertisements that pretend to be news reports
 - B. Door openers that use surveys or prize awards to lure consumers into sales pitches
 - C. Product endorsements that do not indicate that the endorser was paid to make the endorsement
 - D. Advertisements that “pop up” when a consumer visits a news website

25. Growth in the advertising world sparked a movement known as the creative revolution. Which statement below describes this term?
- A. The move from black and white to color advertising
 - B. The move from talking about a product to showing what a product can do
 - C. The move from showing what a product can do to making the product a status symbol
 - D. The move from making a product a status symbol to using subliminal messaging to “force” consumers to buy the product
26. The burden of proof in a criminal case is _____.
- A. preponderance of the evidence
 - B. actus reus
 - C. actual malice
 - D. beyond a reasonable doubt
27. Which of the following is sometimes referred to as an implied-in-law contract?
- A. Quasi-contracts
 - B. Express contracts
 - C. Express contracts and implied-in-fact contracts
 - D. Express contracts and quasi-contracts
28. Guardians may be appointed for which of the following?
- A. Only those who are determined insane by a judge or court.
 - B. Only those whose judgment has been impaired because of a condition such as Alzheimer’s.
 - C. Those who are determined insane by a judge/court or those whose judgment has been impaired because of a condition such as Alzheimer’s, but not those who are habitual drunkards or drug addicts.
 - D. Those who are determined insane by a judge/court, those whose judgment has been impaired because of a condition such as Alzheimer’s, and also those who are determined by a court/judge to be habitual drunkards and drug addicts.
29. Which of these types of contracts does *not* fall within the statute of frauds?
- A. Contracts not performed within 6 months.
 - B. Promises made in consideration of marriage.
 - C. Agreements related to an interest in land.
 - D. Sale of goods over \$500.
30. Which of the following is needed in order to satisfy the UCC's requirement for a written document?
- A. The contract or memorandum needs only to state the price of the goods.
 - B. The contract or memorandum needs only to state the quality of the goods.
 - C. The contract or memorandum needs only to state the quantity to be sold.
 - D. The contract or memorandum needs to state the price of the goods and the quality of the goods, but not the quantity to be sold.

31. A hybrid form of business enterprise that allows the limited liability of a corporation and the tax advantages of a partnership is known as a _____.
A. flexible liability company (FLC)
B. hybrid liability company (HLC)
C. limited corporation company (LCC)
D. limited liability company (LLC)
32. A _____ is a list of questions sent from one party of a lawsuit to another as part of the discovery process.
A. confession
B. interrogatory
C. deposition
D. pleading
33. If a homeowner stops making payments on a loan, the lending institution has the right to _____ on the mortgaged property.
A. foreclose
B. increase the interest rates
C. charge penalties
D. demand immediate payment in full
34. A business that is formed as a corporation is required to be led by a board of directors. The members of this board are elected by _____.
A. the company CEO
B. the company employees
C. shareholders
D. the consumers who buy the product or service
35. A corporate buyout occurs when _____.
A. A competing business purchases all of the inventory from store shelves.
B. The board of directors agrees to sell the company to another larger company.
C. An outside entity purchases a majority of the voting shares of the corporation.
D. The employees refuse to purchase any of the company's products.
36. Scenario: Stacey is in competition for a promotion with her coworker, Tammy. Stacey knows she deserves the promotion more than Tammy does since she has been with the company longer, however, she is afraid of losing out due to Tammy's friendship with the supervisor. Stacey falsely tells the supervisor that Tammy frequently comes to work late, takes home office supplies for personal use, and steals from the petty cash drawer at least once a week. Tammy was informed of the false information and pursued legal action against Stacey. Stacey can be sued for _____.
A. libel
B. slander
C. negligence
D. breach of contract

37. A professional whose negligence results in harm to a client can be held liable. Which term below describes this situation?
- A. Malpractice
 - B. Misfeasance
 - C. Professional neglect
 - D. Professional unawareness
38. A symbol that uniquely identifies a brand of goods or services, such as a famous shoe brand or the graphic for a popular Internet browser, is known as a _____.
- A. logo
 - B. trademark
 - C. graphic identifier
 - D. icon
39. Which of the following statements about the Federal Sentencing Guidelines for Organizations is false?
- A. They use a routine mechanical approach that forces all firms to use the same means to avoid serious penalties.
 - B. They strive to prevent misconduct.
 - C. They encourage companies to develop standards and procedures capable of detecting and preventing misconduct.
 - D. They encourage the appointment of high-level personnel responsible for oversight of the compliance program.
40. Sarbanes-Oxley was created in part to prevent publicly traded companies from manipulating their finances for the purpose of attracting investors. As part of this effort, publicly traded companies are required to establish a(n) _____.
- A. ethics program
 - B. codes of ethics
 - C. legal counsel
 - D. accountant committee
41. Intangible assets are difficult to measure in terms of value, yet they can help a company realize higher profits. Of the choices below, which intangible asset is most likely to bring the most value to a company?
- A. Reputation
 - B. Profitability
 - C. Buildings and equipment
 - D. Shareholder value
42. The specific steps for implementing the stakeholder perspective do *not* include which of the following?
- A. Identifying stakeholder groups
 - B. Identifying stakeholder issues
 - C. Identifying and gaining stakeholder feedback
 - D. Identifying and gaining government feedback

43. An employee sorts through a competing business's trash to see if there are any documents that could reveal secret information. This is a misuse of _____.
A. ethics
B. corporate intelligence
C. business plans
D. employee resources
44. An ethical organizational culture creates an environment to structure behavior that is then evaluated by stakeholders. The key elements of an organizational culture include all of the following *except* _____.
A. values
B. norms
C. employee compensation
D. behavior
45. Which of the following is not a reason why the institutionalization of business ethics has progressed in recent decades?
A. Institutionalization of ethics is now mandated for all organizations by governments around the world.
B. Stakeholders have recognized the need for improving business ethics.
C. Gatekeepers have been questioned as to their contributions to major scandals.
D. Highly ethical companies tend to be more profitable than those suffering from misconduct issues.
46. When a system of ethics including norms and values is embedded in society, industries, and organizations, this process is known as the _____ of ethics.
A. institutionalization
B. rationalization
C. commercialization
D. mobilization
47. Title VII of the Civil Rights Act of 1964 _____.
A. penalizes the top executives in an organization for misconduct
B. prohibits discrimination on the basis of race, color, sex, religion, or national origin
C. is basically the same as the Sarbanes-Oxley Act
D. discourages whistle-blowers from reporting misconduct
48. Procompetitive legislation forbids companies from _____.
A. emitting toxins
B. knowingly harming consumers
C. contracting with sweatshops
D. creating monopolies

49. The three components of the triple bottom line are _____.
A. ethics, loyalty, and shared values
B. location, location, and location
C. finances, strategy, and employee structure
D. society, environment, and finances
50. The financial crisis of 2007-2008 caused thousands of people to lose their homes. Which of the choices below was established as a direct result of this crisis?
A. Environmental Protection Agency
B. World Bank
C. Consumer Financial Protection Bureau
D. Sarbanes-Oxley Act